

REC Ltd

Financials | Speciality Finance | Large Cap | <https://recindia.nic.in/>

Company Overview

REC is a Central Public Sector Undertaking under the Ministry of Power involved in financing projects in the complete power sector value chain from generation to distribution. [1]

Financial Snapshot

Market Cap	■291,917 Cr	ROE	22.2%	Revenue CAGR	13.3%
P/E	31.49	ROCE	10.0%	PAT CAGR	19.8%
P/B	4.59	Net Margin	29.8%	EPS CAGR	19.7%
EV/EBITDA	23.95	Operating Margin	100.8%	Quality Score	70.00
Dividend Yield	2.2%	Debt / Equity	6.42	Interest Coverage	1.60
Asset Turnover	0.09	EPS	■54.00	Book Value	N/A

Investment Strengths

- High ROE indicates efficient capital utilization.
- Strong profit margins support healthy earnings.
- High operating margin reflects operational efficiency.
- Profit growth has remained consistently strong.
- EPS growth indicates increasing shareholder value.
- Healthy dividend yield rewards shareholders.

Investment Risks

- High debt increases financial risk.
- Poor interest coverage raises repayment concerns.
- Negative free cash flow may constrain future growth.

Cash Flow Intelligence

Operational Weakness

Negative operating cash flow indicates weak core business performance.

Heavy Borrowing

Business depends on external financing instead of operations.

Capital Allocation

Latest Pattern: Growth Funded by Debt

Pattern History

Year	Pattern
2013	Distress Signal
2014	Distress Signal
2015	Distress Signal
2016	Growth Funded by Debt
2017	Reinvestor
2018	Distress Signal
2019	Distress Signal
2020	Distress Signal
2021	Distress Signal
2022	Growth Funded by Debt
2023	Growth Funded by Debt
2024	Growth Funded by Debt

Pattern Change Summary

Changed	Yes
From	Distress Signal
To	Growth Funded by Debt